

ASSET LEASING: RETURN AND RISK MATRIX

- > Compared with FD returns of 6-8 per cent, asset leasing offers up to 18 per cent
- > Asset leasing carries higher risks such as default, payment and asset damage risks

	GRIP	ALTGRAAF	TAP
MIN. INVESTMENT	₹75,000	₹1 lakh	₹20,000
MAXIMUM INVESTMENT	10% of deal amount	No upper limit	Not available
TENURE	24-48 months	24-36 months	12-30 months
RETURN (%)	Up to 17	13-18	Up to 19
EXIT	Tradeable as listed on the stock exchange and held in demat account	As per terms	No early exit
REPAYMENT TO INVESTOR	Monthly/quarterly	Monthly/quarterly	Monthly
CHARGES	No charges on the consumer	No charges on the consumer	Not available
REGULATED	Yes	No	No

SOURCE COMPANIES



“As per Sebi rules on OBPP, there is a permissible list of securities... Sebi has talked about a separate platform with a different name for unregulated products”

VIJAY KUPPA
CEO, INCRED MONEY

distribution platforms under parent Ai Growth Pvt Ltd, co-founded by Vineet Agrawal and Ghosh.

DEFAULT RECOURSE

While alternative instruments offer tantalising returns, one needs to ask a couple of questions before investing in them: One, what happens if the company goes bust? Two, what is the fate of the investment? “If the buyer (of products from the small firm) defaults on the payment, the investor (who bought the discounted invoice) can approach the National Company Law Tribunal for recovery and explore other legal remedies under the Insolvency and Bankruptcy Code, 2016. However, they will be an operational creditor in the bankruptcy queue and recoveries for operational creditors tend to be lower than financial creditors,” says Anshul Gupta, Co-founder and CIO of Wint Wealth.

Moreover, corporate buyers can

delay payments against invoices without any impact on their credit rating. “Even well-known corporate buyers may raise disputes and withhold payments against invoice receivables,” says Gupta.

Hence, investors must know the recourse to take in case of a default. “These instruments are typically not regulated and therefore not recommended as the associated risks can be very high, and the loss of capital could be permanent,” says Vishal Dhawan, Founder of Plan Ahead, a Sebi-licensed registered investment advisory firm.

There are wealthtech companies that mitigate the risk by spreading the investments across companies. In contrast, some invest funds in a single company, subjecting investors to higher levels of risk. Therefore, exercising proper due diligence when investing is paramount. **BT**

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